

‘Marketing Mix Challenge’ Launch Plan

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‘Marketing Mix Challenge’ – Launch Plan

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Executive Summary

The Ferrero UK executive board has requested a new savoury snack to be developed. The solution designed, a high protein Hazelnut-butter popcorn called Ferrero Pop, will be analysed and determined throughout this report. The report will start with an introduction to Ferrero, and its market position. Then the opportunity in the UK popcorn market will be established, and competition in the market will be identified. Then STP and consumer buying behaviours will be considered, as well as the identification and justification of the chosen marketing mix decisions. CSR and ethical concerns for Ferrero will also be addressed after this. Then a recommendation of marketing research to monitor success of the launch will be made. Finally, a conclusion will draw together the decisions made.

Introduction/background

Ferrero SpA, is an Italian manufacturer of branded chocolate and confectionery that sells products in over 170 countries (Ferrero, 2021). Ferrero provides products through the following business units: Ferrero Pralines, Tic Tac, Nutella and Kinder. Ferrero sells many popular chocolates including Raffaello and Ferrero Rocher (Maida, 2019).

According to Ferrero UK's Income statement for the year ended 31 August 2019 Ferrero's revenue was just over 392 million pounds. The total turnover of enterprises for the manufacture of cocoa, chocolate and sugar confectionary in the UK in 2019 was slightly under 3.9 billion pounds (Wunsch, 2020). Therefore, Ferrero UK's market share was approximately 10% in 2019. As stated in Ferrero UK's Corporate Social Responsibility focus document, in FY 2014/2015 Ferrero estimated that around 52% of all UK households bought a Ferrero product, rising to 62% of households with children.

In this report a new marketing plan for a new savoury snack in the popcorn market will be analysed. The product to enter this new market for Ferrero will be a high protein hazelnut-butter popcorn named, 'Ferrero Pop'. There is great market opportunity for a protein popcorn because "While enjoyment and indulgence play a key role in the market, health considerations are also affecting it, driving the growth in popcorn, nuts and meat snacks" (Winther, 2018). Furthermore, the global popcorn market is projected to register a compound annual growth rate of 7.1% over the forecast period 2019-2024 (Mordor intelligence, 2021). However, some problems may arise when forecasting this market due to external economic or political unrest. This could significantly disrupt the

growth trend, however at the moment, popcorn is growing in popularity (Mintel, 2017). There is a growing demand for high protein snacks, as health and nutrition business manager Joy Thomas explained – “Consumers wasn’t products that promise additional benefits to suit their health and fitness goals, so demand for convenient, on-the-go options that are low in calories and sugar, is rapidly increasing.” (Ridler, 2018). This is why a high protein popcorn has so much potential, because consumers will experience additional health benefits as well as the short-term indulgence from the product.

Marketing Mix Decisions

Segmentation, Targeting and Positioning

SEGMENTATION

Market segmentation is relied upon as an essential tool by businesses to help them with the identification of consumer segments that consist of their target customers (Rizzi, 2021). The types of segmentation that will be analysed includes demographic, geographic and behavioural. Ferrero Pop will be launching in shops and gyms all across the UK, so geographic segmentation has been utilised to source the consumer demands for different areas of the UK. However, due to the UK being so diverse, there is likely to be different needs for different demographics of people in the same area of the UK. Therefore, demographic segmentation has also been analysed in this report. The final segment analysed is behavioural. This approach examines the benefits, usage situation, extent of use and loyalty (Blythe and Martin, 2019). Furthermore, enabling analysis of lifestyle and behaviours of consumers targeted by Ferrero Pop.

	Segment 1 non health/fitness interested	Segment 2 health/fitness interested gym goers
Geographic	- All across the UK	- All across the UK - More popular in highly active cities such as Brighton and Hove.

Demographic	- Age 16+ - Potentially, lower income - Young teenagers or elderly	- Age 18-70 - Potentially, higher income - Typically, medium to higher income
Behavioural	- Not interested in health and fitness. - Possibly less interest or knowledge on diet and nutrition.	- Health and fitness interested. - Concerned with diet and nutrition.

Figure 1

TARGETING

The targeting strategy to be implemented for the launch of Ferrero Pop will be concentrated targeting. The concentrated targeting would be beneficial to the launch of Ferrero Pop because by producing one niche product for all demographics, we can appeal to segment 1 and segment 2 identified in Figure 1, whilst still having a greater impact on influencing sales to consumers in segment 2. This will make it easier to grow the market share in the Popcorn market by becoming more 'well known' and building up a customer base. This is because Ferrero Pop can be sold to segment 1 for consumers that simply enjoy popcorn, and like the product. Whilst also generating sales for consumers in segment 2 who buy the product for the added benefits it can provide.

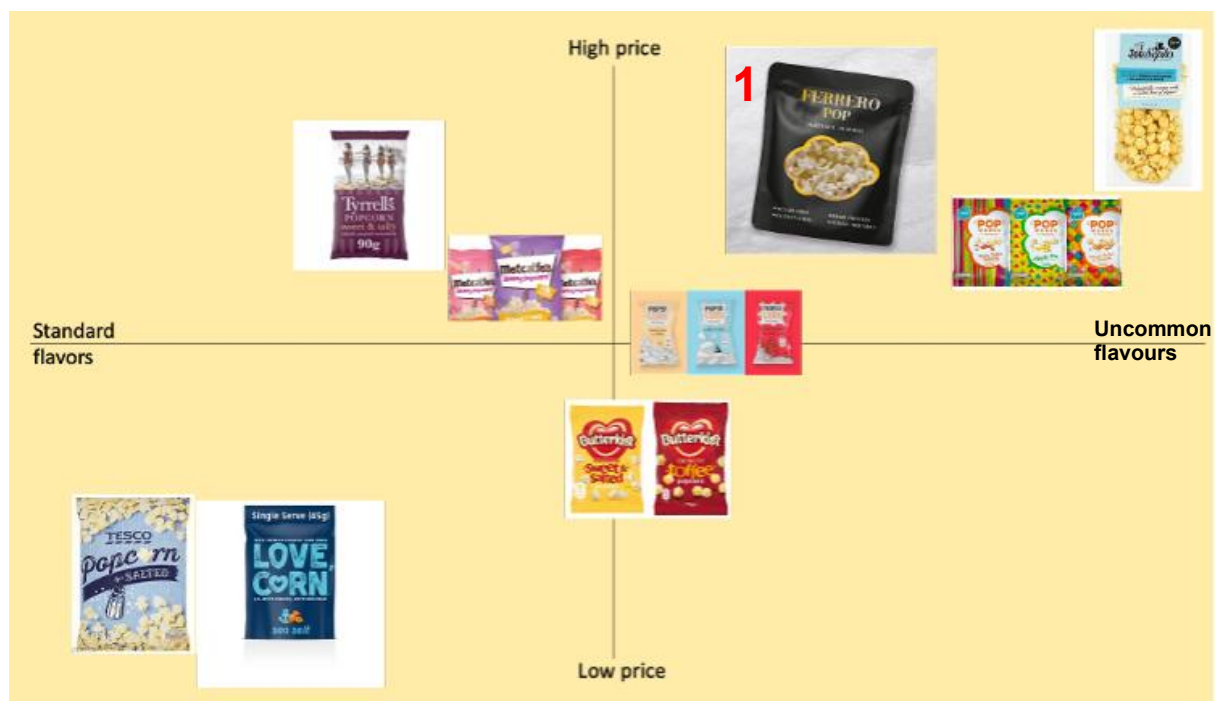
Ferrero Pop will target statistically more active areas of the UK to start with. Once demand is confirmed, distribution will reach more areas across the UK.

The most active UK city is Brighton and Hove, East Sussex (Future Fit, 2020). This may mean Ferrero Pop generates more sales in shops/gyms in this area because consumers may appreciate the added value of the protein more than less active customers. Other highly active areas include Plymouth, Bournemouth and Nottingham (Future Fit, 2020). There is a wide age range in the targeted consumers in segment 2 because most active age group in the UK is over 65s and 55 to 64-year-olds (Young, 2019).

POSITIONING

Ferrero Pop [1] is showcased here on a market map in Figure 2. Ferrero has always positioned itself as premium, with fairly high product price points. Therefore, it was important to continue the company's premium branding and market positioning.

Thus, Ferrero can be seen in Figure 2 positioned as a high price popcorn compared to competitors in the market such as Butterkist Popcorn, or Love Corn UK.



What sets Ferrero Pop apart from competition in the Popcorn market, is not only the health benefits from the high protein content, but also the flavour. Ferrero Pop will launch with a Hazelnut flavour, which as shown in Figure 2, in an uncommon flavour. This is intentionally unique because Ferrero Pop was designed to enhance what consumers love about one of Ferrero's most popular products, Ferrero Rocher which includes hazelnuts.

Corporate Social Responsibility

The Ferrero Group's approach to sustainability is currently based on the company's social responsibility strategy: "Sharing values to create value". The creation of this shared value is a practice that affects all stages of the supply chain (Ferrero, no date) which will include the production of Ferrero Pop. This is crucial to align with The Ferrero Group's CSR and 'Code of Business Conduct' when producing this product because good principles and ethics can help build a positive brand image and improve consumer brand loyalty. It can also make customers more willing to pay the higher price for Ferrero, because they know the production of that product purchased would be through a responsible process.

Product

Ferrero pop is a 'convenience product' when it is sold directly to the consumer. However, largely the popcorn will be sold as a business-to-business product because Ferrero Pop will plan on being sold to gyms and supermarkets, for them to resell.

Figure 3 showcases what the packaging of Ferrero Pop will look like.



Figure 3

The Anatomy of the product:

Augmented Product	High in protein, suitable for vegans, high quality packaging.
Expected Product	Savoury snack, gluten free, Hazelnut flavour.
Core Product	Ready to eat, 'on-the-go' popcorn.

Ferrero Pop is classified as a non-durable product because it can only be eaten once and benefit that individual eating it, which means that it is likely to be repurchased frequently (Brassington and Pettitt, 2013).

Price

The price of Ferrero Pop is crucial because it clarifies the offer of exchange being made – it is the signal to the customer of what we expect in exchange for what we are offering (Blythe and Martin, 2019).

Estimated Manufacturing cost per unit	£1.02
Ferrero Margin	£2.98
Retailer Margin	£3.99

Due to the existing relative high pricing of competitors, along with the luxury and exclusive status of Ferrero Rocher as a brand and given manufacturing and product costs, the wholesale price for retailers would land at £4.00 per unit sold. This would then be followed by an assumed 100% markup by the retailer, leaving the final price at the introduction stage at £7.99. This leaves the company with a roughly 392% return on each unit sold while having a product still somewhat affordable compared to the current competition.

Our wholesale price for retailers of £4, and RRP of £7.99 is a result of our premium pricing strategy. This is the chosen pricing method to enter the market with because Ferrero Pop is a unique product that has an exclusive brand with high customer loyalty.

Place

The distribution of Ferrero Pop will follow a short channel structure, which will align with the rest of Ferrero Products. Having a short channel structure means that intermediaries will be involved to get the product to the consumer. For Ferrero Pop, these intermediaries will include premium supermarkets such as Waitrose and M&S, as well as gym such as David Lloyd.



M&S and Waitrose are obvious places to launch our product as they have a similar target market that we are aiming to launch this product at, they are also brands that are well known and popular with the demographic we hope to attract with this product.

David Lloyd is the most obvious choice for Ferrero Pop as again its target market is the wealthy and successful, and their customers will be more willing to buy the product, however Puregym is also a gym worth selling our product at as it has over 1.1 million members, meaning the Ferrero Pop product can be accessed by a wider range of customers.

Promotion

The basic promotional mix consists of advertising, sales promotion, public relations (PR) and personal selling. Promotion is about communicating the company's messages to the general public, and these are the tools of communication (Blythe and Martin, 2019).

	Introduction stage	Growth	Maturity	Decline
Advertising	80%	60%	30%	20%
Public Relations	20%	40%	70%	/
Sales promotion	/	/	/	80%
Personal selling	/	/	/	/

Large advertising spend is crucial in the early stages of the life cycle because advertising helps to raise awareness of the target demographic's issues with which they may be unfamiliar as well as educate them on the related benefits of your product or service (Hamlett, 2019). Therefore, the USP of Ferrero Pop (flavour & protein content) can be showcased and as the transmitter (Blythe and Martin, 2019), can be received by as many potential consumers as possible. The advertising budget slowly decreases over time to accommodate for more spending on public relations. This is because as Ferrero Pop becomes more established in the market, a consumer base and product awareness will be established. This is when public relations become more crucial than advertising because public relations will have a larger impact on sales due to there being some pre-existing interest and knowledge of the popcorn, from consumers in the market. Eventually

when Ferrero Pop enters the decline stage, 80% of the promotion budget will be spent on the sales promotion. This entails offering discounts to customers, to increase sales. 20% of the budget is then to be spent on advertising so that Ferrero Pop can compete to still grow its consumer awareness to remain competitive with competition such as Propercorn or Butterkist.

Marketing Research Recommendation(s)

To monitor the success of the launch of Ferrero Pop over the first 12 months, it is advised that Ferrero UK should utilise the following recommendations:

- Carry out an assessment of the strengths, weaknesses, opportunities and threats (Leigh, 2009) within the popcorn market to identify if the pricing strategy if the product needs to be adapted to remain competitive. This is also be helpful to identify if new competition enters the market.
- Implement a political, economic, social and technological (PEST) analysis to discover if action is needed to combat risk in the market. This analysis will identify the changes and effects of the external macro environment on Ferrero Pop's competitive position (Sammut-Bonnici and Galea, 2015).

Furthermore, Ferrero UK should take full advantage of quantitative and qualitative research. This includes:

Quantitative Research

- Comparative data collected through polls and questionnaires.
- Simple random sampling to collect numeric data based on the opinions of the participants. Carried out through a survey.

Qualitative Research

- Execute a focus group, as a 'window into the customer's heads.
- Opinions and judgements about the popcorn market from journals and market research papers.

Conclusion

In conclusion, a gap in the popcorn market has been identified. Ferrero Pop will be the high protein popcorn to take advantage of this gap in the market. The segment of the market to be targeted will be the fitness and health interested consumers and the targeting strategy to do this has been selected as concentrated. The place, price, product and promotion, have all been successfully thought out and should result in great success for Ferrero UK. The STP and CSR of Ferrero Pop has been analysed to enhance the launch of the product as effectively as possible. The launch of Ferrero Pop will be an exciting, new market for Ferrero, and with the planning and marketing research recommendations, the launch will be successful.

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